

SB1919 FULLPCS1 Tammy Townley-MKS
4/16/2026 11:19:51 am

COMMITTEE AMENDMENT
HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB1919 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Adopted: _____

Amendment submitted by: Tammy Townley

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

PROPOSED COMMITTEE SUBSTITUTE
FOR ENGROSSED

SENATE BILL NO. 1919

By: Townley

PROPOSED COMMITTEE SUBSTITUTE

An Act relating to revenue and taxation; amending 68 O.S. 2021, Section 2358.110, as amended by Section 4, Chapter 375, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358.110), which relates to qualified equity investment; extending the sunset; amending 68 O.S. 2021, Section 2397, as last amended by Section 1, Chapter 83, O.S.L. 2025 (68 O.S. Supp. 2025, Section 2397), which relates to the Oklahoma Tourism and Development Act; increasing cumulative inducement per year; updating statutory language; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 2358.110, as amended by Section 4, Chapter 375, O.S.L. 2024 (68 O.S. Supp. 2025, Section 2358.110), is amended to read as follows:

Section 2358.110. A. As used in this section:

1. "Accredited investor" means a person or entity as defined pursuant to Section 230.501 of Title 17 of the Code of Federal Regulations;

1 2. "Eligible Oklahoma business venture" means a lawful business
2 entity that is determined by the Oklahoma Center for the Advancement
3 of Science and Technology (OCAST) for receipt of an equity
4 investment by an eligible Oklahoma venture capital company. In
5 determining whether an investment is a qualified equity investment,
6 OCAST shall consider the potential impact the investment would have
7 on the local and state economy and shall consider the following
8 factors:

- 9 a. the primary location of the entity,
- 10 b. the number of employees located or to be located in
11 this state,
- 12 c. state and local revenues generated from the
13 investment,
- 14 d. the economic benefits to the state,
- 15 e. the type and amount of the investment,
- 16 f. the current capitalization level and strategy, and
17 g. the industry classification of the entity;

18 3. "Eligible Oklahoma venture capital company" means a lawfully
19 recognized business entity the primary business purpose of which is
20 to accumulate funds for making investments in lawful for profit
21 business entities and which is organized in any of the following
22 forms:

- 23 a. general partnership,
- 24 b. limited partnership,

- c. limited liability partnership,
- d. limited liability company,
- e. corporation, or
- f. other lawfully recognized business entity;

4. "Lawful business entity" means the following:

- a. a person,
- b. a general partnership,
- c. a limited partnership,
- d. a limited liability partnership,
- e. a limited liability company, or
- f. a corporation; and

5. "Qualified equity investment" means a transfer of cash or its equivalent by an accredited investor to an eligible Oklahoma venture capital company and for purposes of the deduction authorized by this section in an amount not in excess of Twenty-five Million Dollars (\$25,000,000.00) by an accredited investor during a taxable year.

B. For tax years 2022 through ~~2026~~ 2031, there shall be allowed a deduction from Oklahoma taxable income or Oklahoma adjusted gross income as determined pursuant to Section 2358 of this title equal to the amount of qualified equity investment in an eligible Oklahoma venture capital entity made by an accredited investor.

C. The maximum amount of qualified equity investment made by an accredited investor for purposes of the deduction authorized by this

1 section shall not exceed Twenty-five Million Dollars
2 (\$25,000,000.00) for any taxable year of the investor.

3 D. Any qualified equity investment made for purposes of the
4 deduction authorized by this section shall be documented by the
5 issuance of shares of stock, membership interest or other evidence
6 of the equity interest acquired by the accredited investor. Such
7 evidence may take the form of physical shares or the electronic
8 equivalent of physical shares.

9 E. Records of the equity interest acquired by an accredited
10 investor shall be maintained by the accredited investor and the
11 eligible Oklahoma venture capital company for a period of at least
12 five (5) years from the date the equity investment is made by an
13 accredited investor.

14 F. A qualified equity investment made by an accredited investor
15 for purposes of the deduction authorized by this section shall not
16 be returned by the eligible Oklahoma venture capital company to the
17 accredited investor, if the accredited investor is a natural person,
18 or to any person related to such natural person within the third
19 degree of consanguinity or affinity, for a period of three (3) years
20 from the date of the qualified equity investment unless the return
21 is in the form of a dividend or other payment agreed to prior to or
22 simultaneously with the equity investment transfer from the
23 accredited investor to the eligible Oklahoma venture capital company
24 and only if the return of some part of the qualified equity

1 investment is based on the financial performance of either the
2 eligible Oklahoma venture capital company or the financial
3 performance of one or more for profit business entities in which the
4 accumulated equity funds of the eligible Oklahoma venture capital
5 company are further invested or both such measures of financial
6 performance.

7 G. A qualified equity investment made by an accredited investor
8 for purposes of the deduction authorized by this section shall not
9 be returned by the eligible Oklahoma venture capital company to the
10 accredited investor if the accredited investor is a lawful business
11 entity, or to any entity which owns fifty-one percent (51%) or more
12 of the voting equity interest of the accredited investor or to any
13 lawful business entity with respect to which the accredited investor
14 owns fifty-one percent (51%) or more of the voting equity interest,
15 within a period of five (5) years from the date of the equity
16 investment unless the return is in the form of a dividend or other
17 payment agreed to prior to or simultaneously with the equity
18 investment transfer from the accredited investor to the eligible
19 Oklahoma venture capital company and only if the return of some part
20 of the qualified equity investment is based on the financial
21 performance of either the eligible Oklahoma venture capital company
22 or the financial performance of one or more for profit business
23 entities in which the accumulated equity funds of the eligible
24

1 Oklahoma venture capital company are further invested or both such
2 measures of financial performance.

3 H. The deduction authorized by the provisions of this section
4 shall not be used to reduce the Oklahoma taxable income amount or
5 the Oklahoma adjusted gross income amount to less than zero (0).
6 There shall not be any carryover with respect to a deduction
7 authorized by the provisions of this section.

8 I. If the Oklahoma Tax Commission determines, either from
9 information accompanying any applicable income tax return or
10 schedule, form or supporting documentation filed in order to claim
11 the deduction authorized by this section, that the requirements of
12 this section were not fulfilled, the Oklahoma Tax Commission shall
13 notify the taxpayer claiming the deduction that the deduction has
14 been disallowed and the income tax liability for the taxpayer shall
15 be recalculated. The taxpayer shall retain all rights authorized
16 pursuant to the provisions of the Uniform Tax Procedure Code and the
17 Oklahoma Income Tax Code in order to contest the disallowance of
18 part or all of such deductions.

19 J. OCAST may promulgate rules to enforce the provisions of this
20 act. OCAST shall annually publish a report on the program created
21 in this section.

22 SECTION 2. AMENDATORY 68 O.S. 2021, Section 2397, as
23 last amended by Section 1, Chapter 83, O.S.L. 2025 (68 O.S. Supp.
24 2025, Section 2397), is amended to read as follows:

1 Section 2397. A. Upon receiving notification from the Chief
2 Executive ~~Director~~ Officer of the Oklahoma Department of Commerce
3 that an approved company has entered into a tourism project
4 agreement and is entitled to the inducements provided by the
5 Oklahoma Tourism Development Act, the Oklahoma Tax Commission shall
6 provide the approved company with forms and instructions as
7 necessary to claim or receive or pass-through those inducements.

8 B. An approved company whose agreement provides that it shall
9 expend approved costs of more than Five Hundred Thousand Dollars
10 (\$500,000.00) for a tourism attraction project but less than One
11 Million Dollars (\$1,000,000.00) shall be entitled to a sales tax
12 credit if the company certifies to the Tax Commission that it has
13 expended at least the minimum amount in approved costs, and the
14 Chief Executive ~~Director~~ Officer certifies that the approved company
15 is in compliance with the Oklahoma Tourism Development Act. The Tax
16 Commission shall then issue a tax credit memorandum to the approved
17 company granting a sales tax credit in the amount of up to ten
18 percent (10%) of the approved costs, but limited to the percent of
19 the approved costs that will result in the project being revenue-
20 neutral to this state as determined by the Oklahoma Department of
21 Commerce. Subsequent requests for credit for additional certified
22 approved costs in excess of the minimum amount for each project as
23 listed in this subsection but less than One Million Dollars
24 (\$1,000,000.00) shall result in a sales tax credit in the amount of

1 up to ten percent (10%) of the approved costs, but limited to the
2 percent of the approved costs that will result in the project being
3 revenue-neutral to this state as determined by the Oklahoma
4 Department of Commerce. Sales tax credits allowed pursuant to the
5 provisions of the Oklahoma Tourism Development Act shall not be
6 transferable or assignable; provided that, with respect to a tourism
7 attraction project that is an Entertainment District, the approved
8 company can elect to pass-through all or a portion of the sales tax
9 credit to one or more Entertainment District Tenant Parties. The
10 approved company and the Entertainment District Tenant Party shall
11 jointly file a copy of the written credit pass-through agreement
12 with the Oklahoma Tax Commission within thirty (30) days of the
13 effective date of the agreement. Such filing of the agreement with
14 the Oklahoma Tax Commission shall perfect such agreement. The
15 written agreement shall contain the name, address and taxpayer
16 identification number of the parties to the agreement, the amount of
17 credit being passed-through, the month and year the credit was
18 originally allowed to the approved company, the month and tax year
19 or years for which the credit may be claimed, and a representation
20 by the approved company that the approved company has neither
21 claimed for its own behalf nor conveyed such credits to any other
22 Entertainment District Tenant Party. The Tax Commission shall
23 develop a standard form for use by an approved company and an
24 Entertainment District Tenant Party demonstrating eligibility for

1 the Entertainment District Tenant Party to utilize the sales tax
2 credit. The Tax Commission shall develop a system to record and
3 track the pass-through of the sales tax credit and certify the
4 ownership of the sales tax credit and may promulgate rules to permit
5 verification of the validity and timeliness of a sales tax credit
6 claimed upon a sales tax return pursuant to this subsection but
7 shall not promulgate any rules which unduly restrict or hinder the
8 pass-through of such sales tax credit to an Entertainment District
9 Tenant Party.

10 An approved company whose agreement provides that it shall
11 expend approved costs in excess of One Million Dollars
12 (\$1,000,000.00) shall be entitled to a sales tax credit if the
13 company certifies to the Tax Commission that it has expended at
14 least One Million Dollars (\$1,000,000.00) in approved costs and the
15 Chief Executive ~~Director~~ Officer certifies that the approved company
16 is in compliance with the Oklahoma Tourism Development Act. The Tax
17 Commission shall then issue a tax credit memorandum to the approved
18 company granting a sales tax credit in the amount of up to twenty-
19 five percent (25%) of the approved costs, but limited to the percent
20 of the approved costs that will result in the project being revenue-
21 neutral to this state as determined by the Oklahoma Department of
22 Commerce. The credit on all subsequent additional certified
23 approved costs shall be in the amount of up to twenty-five percent
24 (25%) of the costs, but limited to the percent of the approved costs

1 that will result in the project being revenue-neutral to this state
2 as determined by the Oklahoma Department of Commerce. For a tourism
3 attraction project that is an Entertainment District, an approved
4 company may elect to receive an incentive payment based on sales tax
5 collections of Entertainment District Tenant Parties rather than a
6 sales tax credit. The incentive payment shall be in the amount of
7 up to twenty-five percent (25%) of the approved costs but limited to
8 the percent of the approved costs that will result in the project
9 being revenue-neutral to this state as determined by the Oklahoma
10 Department of Commerce; provided that, (A) in no event shall the
11 incentive payments exceed the increased state sales tax liability of
12 the approved company and the Entertainment District Tenant Parties
13 that is actually received by the Tax Commission, and (B) the
14 approved company shall be entitled to receive only ten percent (10%)
15 of the incentive payment amount during each calendar year. The Tax
16 Commission shall issue an incentive payment memorandum to the
17 approved company granting a right to receive an incentive payment
18 from the Tax Commission in the amount of up to twenty-five percent
19 (25%) of the approved costs but limited to the percent of the
20 approved costs that will result in the project being revenue-neutral
21 to this state as determined by the Oklahoma Department of Commerce.
22 As soon as practicable after the end of each calendar year during
23 the term of the agreement, the approved company shall file a claim
24 for the incentive payment with the Tax Commission, and the Tax

1 Commission shall be responsible for ensuring that the amount of the
2 incentive payment claimed does not exceed the increased state sales
3 tax liability of the approved company and the Entertainment District
4 Tenant Parties that has been actually received by the Tax
5 Commission, which may include accessing the ~~Oklahoma~~ state sales tax
6 returns of the Entertainment District Tenant Parties as permitted by
7 this section.

8 The cumulative inducements provided pursuant to the Oklahoma
9 Tourism Development Act shall not exceed ~~Thirty Million Dollars~~
10 ~~(\$30,000,000.00)~~ Forty-five Million Dollars (\$45,000,000.00) per
11 year.

12 The Tax Commission shall require proof of expenditures prior to
13 issuing a tax credit memorandum or incentive payment memorandum to
14 the approved company which may be satisfied by a report from an
15 independent certified public accountant. Additional credit
16 memoranda or incentive memoranda may be issued as the approved
17 company certifies additional expenditures of approved costs.

18 No tax credit memorandum or incentive payment memorandum shall
19 be issued for any approved costs expended after the expiration of
20 three (3) years from the date the agreement was signed by the Chief
21 Executive Director Officer and the approved company. However, the
22 Chief Executive Director Officer, with the advice and consent of the
23 Tax Commission, may authorize inducements for approved costs
24 expended up to five (5) years from the date the agreement was signed

1 if the Chief Executive ~~Director~~ Officer determines that the failure
2 to complete the tourism attraction project within three (3) years
3 resulted from:

4 1. Unanticipated and unavoidable delay in the construction of
5 the tourism attraction;

6 2. An original completion date for the tourism attraction, as
7 originally planned, which will be more than three (3) years from the
8 date construction began; or

9 3. A change in business ownership or business structure
10 resulting from a merger or acquisition.

11 C. A sales tax credit allowed pursuant to the provisions of
12 this section may be used to offset a portion of the reported state
13 sales tax liability of the approved company or an Entertainment
14 District Tenant Party, if applicable, for all sales tax reporting
15 periods following the issuance of the credit memorandum subject to
16 the following limitations:

17 1. Only increased state sales tax liability may be offset by
18 the issued credit;

19 2. An approved company whose agreement provides that it shall
20 expend approved costs in excess of One Million Dollars
21 (\$1,000,000.00) or an Entertainment District Tenant Party, if
22 applicable, shall be entitled to use only ten percent (10%) of the
23 amount of each issued credit to offset increased state sales tax
24 liability during each calendar year, plus the amount of any unused

1 credit carried forward from a prior calendar year, and an approved
2 company whose agreement provides that it shall expend approved costs
3 of more than the minimum amount for each project as listed in this
4 subsection but less than One Million Dollars (\$1,000,000.00) shall
5 be entitled to use only twenty percent (20%) of the amount of each
6 issued credit to offset increased state sales tax liability during
7 each calendar year, plus the amount of any unused credit carried
8 forward from a prior calendar year; and

9 3. All issued credit memoranda or incentive payment memoranda
10 shall expire at the end of the month following the expiration of the
11 agreement as provided in Section 2396 of this title.

12 The approved company or an Entertainment District Tenant Party,
13 if applicable, shall have no obligation to refund or otherwise
14 return any amount of this inducement to the person from whom the
15 sales tax was collected.

16 D. The Tax Commission shall promulgate rules as are necessary
17 for the proper administration of the Oklahoma Tourism Development
18 Act. The Tax Commission may also develop forms and instructions as
19 necessary for an approved company or Entertainment District Tenant
20 Party, if applicable, to claim or receive or pass-through the
21 inducements provided by the Oklahoma Tourism Development Act.

22 E. The Tax Commission shall have the authority to obtain any
23 information necessary from or regarding the approved company or an
24 Entertainment District Tenant Party, if applicable, and the Chief

1 Executive ~~Director~~ Officer to verify that approved companies or an
2 Entertainment District Tenant Party, if applicable, have received
3 the proper amounts of inducements as authorized by the Oklahoma
4 Tourism Development Act. The Oklahoma Tax Commission shall demand
5 the repayment of any inducements taken or received in excess of the
6 inducements allowed by the Oklahoma Tourism Development Act.

7 F. No sales tax credit or incentive payment right authorized by
8 this section shall be granted on or after January 1, 2032.

9 Notwithstanding the foregoing, an approved company that has entered
10 into a tourism attraction project agreement with the Oklahoma
11 Department of Commerce pursuant to Section 2396 of this title prior
12 to January 1, 2032, shall continue to be entitled to claim or
13 receive any inducements authorized by this section as contemplated
14 by the tourism project agreement.

15 G. All currently approved tourism project agreements executed
16 by the Oklahoma Tourism and Recreation Department are hereby
17 transferred to the Oklahoma Department of Commerce upon November 1,
18 2021.

19 H. On November 1, 2021, all administrative rules promulgated by
20 the Oklahoma Tourism and Recreation Department regarding the
21 Oklahoma Tourism Development Act shall be transferred to and become
22 a part of the administrative rules of the Oklahoma Department of
23 Commerce. The Office of Administrative Rules in the Office of the
24 Secretary of State shall provide adequate notice in ~~the~~ "The

1 Oklahoma Register" of the transferred rules and shall place the
2 transferred rules under the Oklahoma Administrative Code section of
3 the Oklahoma Department of Commerce. On November 1, 2021, any
4 amendment, repeal, or addition to the transferred rules shall be
5 under the jurisdiction of the Oklahoma Department of Commerce, who
6 shall have the authority to enact rules in order to carry out the
7 provisions of the Oklahoma Tourism Development Act.

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8 SECTION 3. This act shall become effective November 1, 2026.

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